

MORAN v. DIAZ
Case No. CU24-09224

Demurrer to First Amended Cross-Complaint filed by Cross-Defendants MORAN and FORD; Demurrer to First Amended Cross-Complaint filed by Cross-Defendant ALVAREZ GUARDERAS

TENTATIVE RULING

On June 2, 2025, EDUARDO DIAZ ("DIAZ") filed a cross-complaint against Cross Defendants Patricia Moran, Teresa Ford and Teri Alvarez. On July 3, 2025, DIAZ filed a first-amended cross-complaint (1ACC).

On July 17, 2025, plaintiffs Moran and Ford filed a demurrer to the 1ACC which was set for hearing on April 27, 2026. On January 14, 2026, Guarderas also filed a demurrer to the 1ACC which was set for hearing on March 4, 2026. On March 3, 2026, Department 22 continued Guarderas' demurrer so that it could be heard with the Moran and Ford demurrer set for April 27, 2026.

On March 12, 2026, the case was reassigned to Department Eight.

Demurrer filed by MORAN and FORD to First through Ninth Causes of Action

The demurrer of MORAN and FORD to the 1ACC is SUSTAINED IN PART and OVERRULED IN PART.

In adjudicating a demurrer, a court is to consider only matters that appear on the face of the pleading or that may be judicially noticed. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318). Therefore, the court did not consider various factual disputes submitted by the parties that do not appear on the face of the first amended cross-complaint or that may not be judicially noticed.

First, Second and Third Causes of Action

The demurrer to the first, second and third causes of action for breach of contract, common counts and quantum meruit are SUSTAINED WITH LEAVE TO AMEND to the extent it is based on the contention that the 1ACC does not make clear that DIAZ has standing to bring a number of the causes of action that appear to belong to his partnership, DC Pacifico, who is not a party or cross party to this action.

Cross-complainant did not include DC Pacifico as a cross-complainant or indicate that any of the causes of action were being brought on its behalf. A partnership may be formed by conduct and agreement. (Corp. Code § 16202). A partnership may sue or be sued in the name by which it is known. (CCP § 369.5). The court grants leave to amend to include DC Pacifico as a cross-complainant as appropriate.

To the extent that DIAZ contends that any of these causes of action belong individually to him rather than the partnership DC Pacifico, the 1ACC is uncertain and requires further amendment.

The court finds that the 1ACC does not allege whether the contract with cross-defendants was oral, written, or implied by conduct. This court sustains the demurrer with leave to amend under CCP Section 430.10(g) to the extent it is based on this ground.

Fourth Cause of Action

The demurrer to the fourth cause of action for unjust enrichment is SUSTAINED WITHOUT LEAVE TO AMEND. There is no recognizable cause of action for unjust enrichment in California law. (*City of Oakland v. Oakland Raiders* (2022) 83 Cal.App.5th 458, 477). The court notes that the 1ACC alleges a cause of action for quantum meruit in which unjust enrichment could potentially be recovered.

Fifth and Seventh Causes of Action

The demurrer to the fifth and seventh causes of action for fraud and conspiracy to commit fraud is SUSTAINED WITH LEAVE TO AMEND. The 1ACC alleges facts indicating cross-defendants MORAN and FORD promised to pay DIAZ for his work but had no intention of paying DIAZ. But DC Pacifico is the party with standing to allege this claim.

With respect to allegations that Defendants subsequently cut DIAZ out of the project and separately hired his partner, the allegations do not allege sufficient facts to state a cause of action for fraud or conspiracy committing fraud. The elements of fraud are (a) a misrepresentation (false representation, concealment or nondisclosure); (b) knowledge of falsity (or scienter); intent to defraud, i.e. to induce reliance; (d) justifiable reliance; and (e) resulting damage. (*Geraghty v. Shalizi* (2017) 8 Cal.App.5th 593, 597.) Subsequent facts are not indicative of conduct to induce justifiable reliance.

Sixth Cause of Action

The demurrer to the sixth cause of action for tortious interference with contract is SUSTAINED WITHOUT LEAVE TO AMEND as to the contract between Defendants and DC Pacifico. Cross-defendants may not be liable for interference with their own contract.

The demurrer is OVERRULED to the extent it is based on interference with the partnership contract between DIAZ and Contreras. The 1ACC makes a variety of allegations such as separately hiring Contreras outside of the partnership (1ACC ¶¶ 14, 20), conspiring with Contreras to directly hire subcontractors (1ACC ¶ 18) and conspiring with Contreras and Fredy Acosta Garcia-DRO to cut Diaz out of the contract and terminate communication with Diaz (1ACC ¶¶ 14-18).

Eighth and Ninth Causes of Action

The demurrer to the eighth cause of action for civil theft and ninth cause of action for conversion is SUSTAINED WITHOUT LEAVE TO AMEND.

The allegations in the first amended cross-complaint that cross-defendants paid partner Contreras instead of partner DIAZ do not constitute theft or receipt of stolen property. (*Hueso v. Select Portfolio Servicing, Inc.* (S.D. Cal. 2021) 527 F.Supp.3d 1210, 1229, and *Lacagnina v. Comprehend Systems, Inc.* (2018) 25 Cal.App.5th 955, 969). Likewise, conversion is the wrongful exercise of dominion over the property of another. (*Mendoza v. Continental Sales Co.* (2006) 140 Cal.App.4th 1395, 1405.) Payment to one of the DC Pacifico partners rather than the other does not give rise to a claim for conversion against the contracted party by the unpaid partner. The partnership must resolve its own conflicts among the partners.

Demurrer filed by GUARDERAS

The demurrer of GUARDERAS to the 1ACC is SUSTAINED IN PART and OVERRULED IN PART.

In adjudicating a demurrer, a court is to consider only matters that appear on the face of the pleading or that may be judicially noticed. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318). Therefore, the court did not consider various factual disputes submitted by the parties that do not appear on the face of the first amended cross-complaint or that may not be judicially noticed.

Fourth Cause of Action

The demurrer to the fourth cause of action for unjust enrichment is SUSTAINED WITHOUT LEAVE TO AMEND. There is no recognizable cause of action for unjust enrichment in California law. (*City of Oakland v. Oakland Raiders* (2022) 83 Cal.App.5th 458, 477). The court notes that the 1ACC alleges a cause of action for quantum meruit in which unjust enrichment could potentially be recovered.

Fifth and Seventh Causes of Action

The demurrer to the fifth cause of action for fraud and seventh cause of action for conspiracy to commit fraud is SUSTAINED WITH LEAVE TO AMEND. As to GUARDERAS, the 1ACC alleges GUARDERAS conspired with MORAN and FORD to cut him out of the project by subsequently separately hiring DIAZ's business partner Contreras. (1ACC ¶ 52.)

The elements of fraud are (a) a misrepresentation (false representation, concealment or nondisclosure); (b) knowledge of falsity (or scienter); intent to defraud, i.e. to induce reliance; (d) justifiable reliance; and (e) resulting damage. (*Geraghty v. Shalizi* (2017) 8

Cal.App.5th 593, 597.) Subsequent facts are not indicative of conduct to induce justifiable reliance.

DIAZ does not allege facts to show that GUARDERAS engaged in a misrepresentation to induce his personal reliance (or the reliance of DC Pacifico) upon which he then justifiably relied to his detriment.

With respect to conspiracy to commit fraud, the elements of civil conspiracy are (1) the formation and operation of the conspiracy; (2) a wrongful act in done in furtherance of the conspiracy; and (3) resulting damage to plaintiff. (*Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal.4th 503, 510.) As to formation of the conspiracy, two or more persons must agree on a common plan to commit a tortious act. (*Kidron v. Movie Acquisition Corp.* (1995) 40 Cal.App.4th 1571, 1582.)

The 1ACC alleges facts indicating cross-defendants MORAN and FORD promised to pay DIAZ for his work but had no intention of paying DIAZ. But DC Pacifico is the party with standing to allege this claim. Nothing in the 1ACC alleges that GUARDERAS was a participant in the alleged original decision to commit fraud.

To the extent that DIAZ's claims as to the fifth and seventh causes of action are for himself personally, rather than Di Pacifico, the 1ACC is uncertain.

Sixth Cause of Action

The demurrer to the sixth cause of action for tortious interference with contract is SUSTAINED WITH LEAVE TO AMEND IN PART and OVERRULED IN PART. The 1ACC alleges two contracts: the contract between DC Pacifico and cross-defendants' MORAN and FORD and the contract between DIAZ and Contreras. DIAZ does not have personal standing as to the DC Pacifico contract, but does as to the contract between himself and Contreras.

Eighth Cause of Action

The demurrer to the eighth cause of action for civil theft and ninth cause of action for conversion is SUSTAINED WITHOUT LEAVE TO AMEND.

The allegations in the 1ACC that cross-defendants paid partner Contreras instead of partner DIAZ do not constitute theft or receipt of stolen property. (*Hueso v. Select Portfolio Servicing, Inc.* (S.D. Cal. 2021) 527 F.Supp.3d 1210, 1229, and *Lacagnina v. Comprehend Systems, Inc.* (2018) 25 Cal.App.5th 955, 969). Likewise, conversion is the wrongful exercise of dominion over the property of another. (*Mendoza v. Continental Sales Co.* (2006) 140 Cal.App.4th 1395, 1405.) Payment to one of the DC Pacifico partners rather than the other does not give rise to a claim for conversion against the contracted party by the unpaid partner. The partnership must resolve the conflicts between the partners.

Leave to Amend

The court grants DIAZ fifteen (15) days' leave from the date notice of this order is served to file a second amended cross-complaint in accordance with the court's ruling.

FRANCISCO MAGAN RAMIREZ et al. v. ROGER COX CASE NO. CU24-09307

Motion to Appoint Successor Guardian Ad Litem

TENTATIVE RULING:

On December 5, 2024, Alejandra Jocelyn Magana Reynoso was appointed as guardian ad litem for minor Eliabeth Magana Camacho.

While a settlement in the underlying personal injury case was reached over a year ago, Plaintiff's counsel has lost contact with Ms. Camacho who has been unresponsive despite diligent efforts by counsel to reach her. The court finds good cause to remove Ms. Camacho as guardian ad litem and to appoint Francisco Magana Ramirez as successor guardian ad litem.

The court will process the lodged order forthwith. Plaintiff's counsel shall file the petition for minors compromise forthwith.

VANLEUVEN v. DGDG 18, LLC, ET AL. Case No. CU26-00433

Petition to Compel Arbitration

TENTATIVE RULING:

The unopposed petition to compel arbitration is GRANTED.

The action shall be stayed as to Defendants DGDG and CAPITOL ONE AUTO FINANCE until arbitration is completed. (Code Civ. Proc. § 1281.4.) Arbitration review is set for **May 27, 2027 at 8:30 in Department 8**. Defendants shall initiate arbitration in the next 15 calendar days.

Defendant DGDG established, and Plaintiff admitted in her complaint, that Plaintiff entered into a retail installment sales contract with Defendant DGDG to purchase a used vehicle. The retail agreement contains an arbitration clause invoking the Federal Arbitration Act ("FAA").

DGDG contends that Plaintiff's claims against Defendant are different than her claims related to a service contract or bad repairs against VICTORY and USWC. Given these differences, it does not appear necessary to stay the civil action in order to secure full relief for Plaintiff as inconsistent decisions do not appear to be at issue.